FINANCIAL STATEMENT ANALYSIS · MASTER'S PROGRAM

Revenue Recognition in Pictures

The five steps, told as one short story about a mobile shop.

Ind AS 115 · IFRS 15 · ASC 606

Srikanth Potharla



Meet Kiran's Mobile Shop



It is a festival weekend. Neha walks in. She wants a phone, and a 12-month screen-care plan to go with it.

KIRAN'S USUAL PRICES, WHEN SOLD SEPARATELY

Phone	₹20,000
Screen-care plan (12 months)	₹4,000

To keep the numbers simple, we ignore GST.

The 5-step road

Every sale travels this road, in this order. Each step has its own colour.

STEP 1



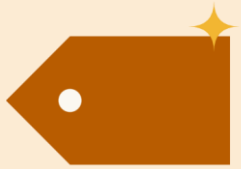
Is there a real deal?

STEP 2



What was promised?

STEP 3



What is the price?

STEP 4



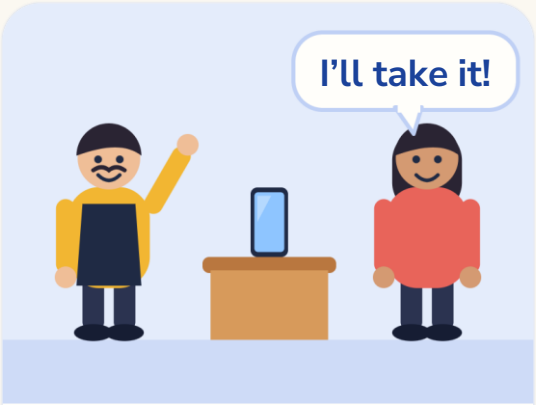
Who gets how much?

STEP 5

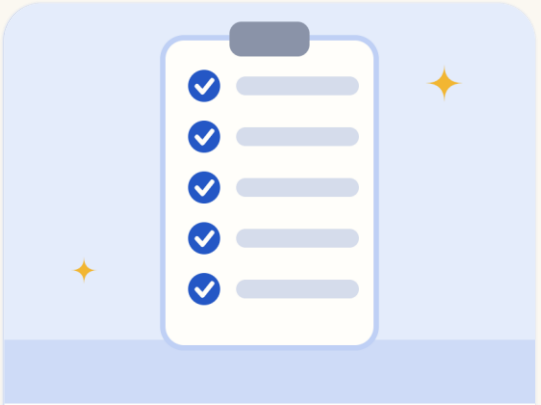


When is it earned?

STEP 1 Is there a real deal?



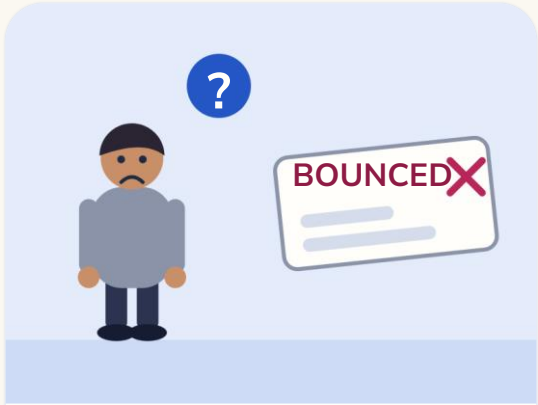
Neha picks a phone. Kiran agrees to sell it.



Five quick checks. All five must pass.



All five pass, so a real contract exists.



A buyer who cannot pay? No contract yet. Revenue: ₹0.

No contract, no revenue. Even after delivery.

STEP

1

Is there a real deal?



THE RULE

A contract exists only if all five checks pass.

THE FIVE CHECKS

1. Both sides approve it and are committed
2. Each side's rights are clear
3. The payment terms are clear
4. It has real commercial substance
5. It is probable the seller will collect the money

Ind AS 115.9

IFRS 15: same · US GAAP: stricter on "probable"

REMEMBER

Fail even one check and there is no contract yet, so no revenue yet. Check again every period.

STEP 2

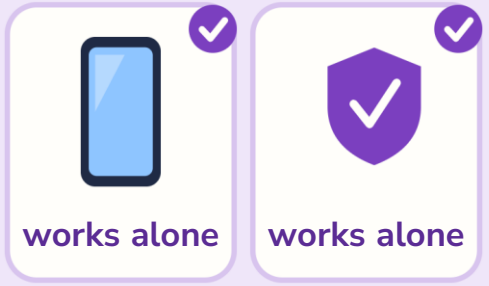
What was promised?



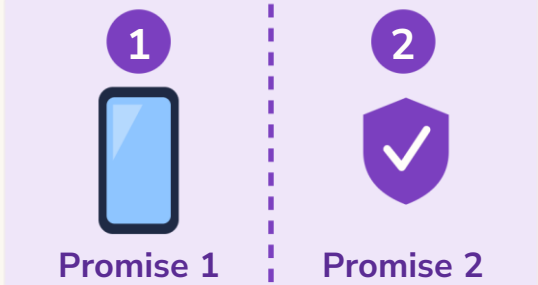
Kiran’s deal looks like one gift box.



Inside are two promises: a phone and a care plan.



Each one works alone. Neha could buy either one separately.



So we count two separate promises, not one.

Two promises = two ‘performance obligations’. Track each one on its own.

STEP

2

What was promised?



THE RULE

A promise is a separate ‘performance obligation’ only if it passes both tests.

THE TWO TESTS

1. Can the customer benefit from it on its own, or with things easy to get?
2. Is it separate from the other promises, and not part of one combined result?

- Watch out: a separate invoice line does not make a separate promise.

Ind AS 115.22 and 27

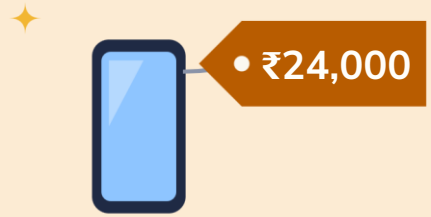
IFRS 15 and ASC 606: same

REMEMBER

Ask both questions. Passing only one is not enough.

STEP 3

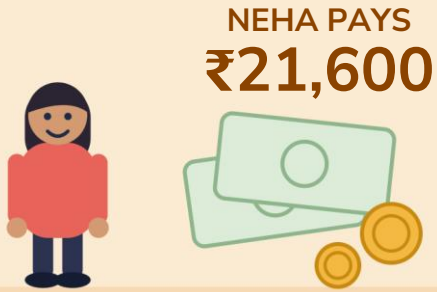
What is the price?



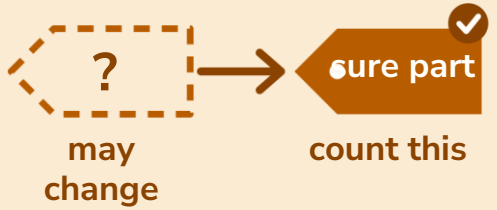
The price tag says ₹24,000.



Festival discount: ₹2,400 off.



Neha pays ₹21,600. This is our price.



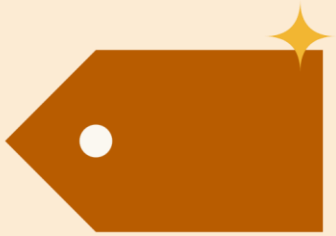
If a price may change later, count only what is almost sure.

Price = what Kiran expects to be entitled to. Here: ₹21,600.

STEP

3

What is the price?



THE RULE

Transaction price = the amount the seller expects to be entitled to.

WHAT CAN CHANGE THE PRICE

- Discounts, rebates, refunds and bonuses can change it. They are called variable consideration.
- Count a variable amount only if a big reversal later is highly unlikely. This is the constraint.
- Money collected for the government, such as GST, is not revenue.

Ind AS 115.47 and 56

IFRS 15 and ASC 606: same

REMEMBER

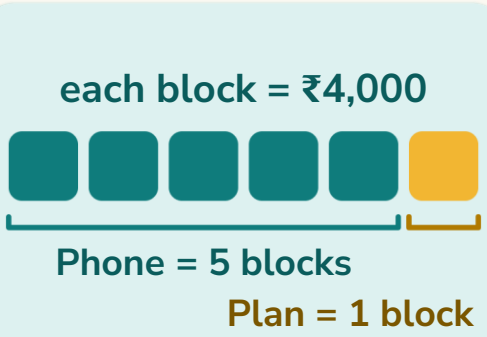
Use the price Neha really pays, not the price on the tag: ₹21,600.

STEP 4

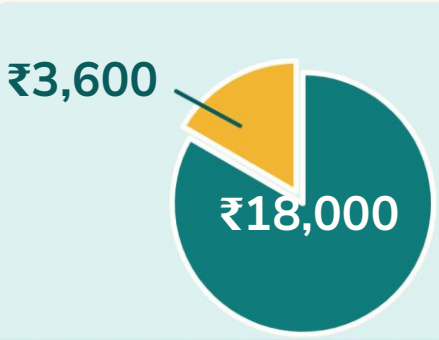
Who gets how much?



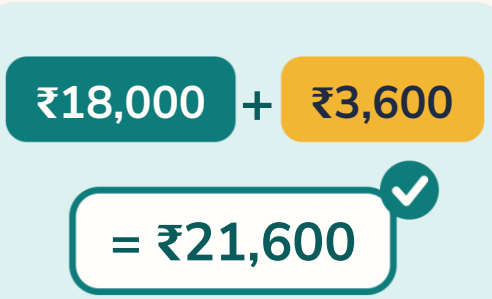
Sold alone: phone ₹20,000, care plan ₹4,000.



In ₹4,000 blocks: phone is 5 blocks, plan is 1 block.



Share ₹21,600 the same way: 5 parts and 1 part.



Check: ₹18,000 + ₹3,600 = ₹21,600. Nothing lost.

Share the price by stand-alone prices: phone ₹18,000, care plan ₹3,600.

STEP

4

Who gets how much?



THE RULE

Share the price across the promises in proportion to their stand-alone prices.

THE MATHS

- Share = Price × (item's stand-alone price ÷ total of stand-alone prices)
- Phone: ₹21,600 × 20,000 ÷ 24,000 = ₹18,000
- Care plan: ₹21,600 × 4,000 ÷ 24,000 = ₹3,600

Ind AS 115.73 to 83

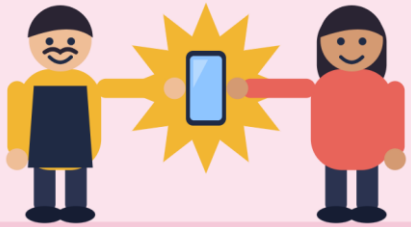
IFRS 15 and ASC 606: same

REMEMBER

A discount is shared by all promises, unless there is proof it belongs to just one.

STEP 5

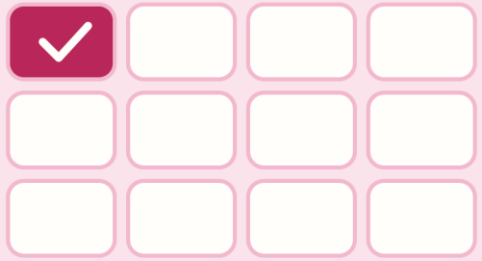
When is it earned?



The phone is handed over. Neha now controls it.



So Kiran records ₹18,000 today.



12 months of care

The care plan is delivered month by month, for 12 months.

₹300 each month



₹300 × 12 = ₹3,600

So Kiran records ₹300 each month: ₹3,600 in all.

Hand it over: earn it now. Deliver over time: earn it over time.

STEP

5

When is it earned?



THE RULE

Record revenue when (or as) control passes to the customer.

THE TESTS

OVER TIME: any ONE is enough

- The customer uses the benefit as you perform
- You build an asset that the customer controls
- No other use for the asset, and a right to be paid for the work done

AT A POINT IN TIME: look for

- A present right to payment
- The customer has legal title
- The customer has the goods
- Risks and rewards have passed
- The customer has accepted it

Ind AS 115.35 and 38

IFRS 15 and ASC 606: same

REMEMBER

The phone is a point-in-time sale: ₹18,000 today. The care plan is over time: ₹300 a month for 12 months.

The whole story in one picture

STEP 1 · REAL DEAL?	STEP 2 · PROMISES	STEP 3 · PRICE	STEP 4 · SHARING	STEP 5 · TIMING
Real deal All five checks pass	**2 promises** Phone and care plan	**₹21,600** ₹24,000 tag, less ₹2,400 discount	**₹18,000** for the phone **₹3,600** for the care plan	**Today** ₹18,000 for the phone **₹300 a month** for 12 months, care plan

₹21,600 = ₹18,000 today + ₹3,600 over 12 months. The price stays the same. Only the timing changes.

Check yourself

Read the question. Think. Click to reveal the answer.

A buyer with bounced cheques takes delivery. How much revenue today?	₹0. Step 1 fails: collecting the money is not probable.
Phone plus care plan: how many separate promises?	Two. Each works alone and is separate (Step 2).
Tag ₹24,000, discount ₹2,400. Which price do we use?	₹21,600, the price Neha really pays (Step 3).
What share of the ₹21,600 belongs to the care plan?	₹3,600 = 21,600 × 4,000 ÷ 24,000 (Step 4).
When does Kiran record the care plan’s revenue?	₹300 a month, for 12 months (Step 5).